

One would think that making innerwear isn't rocket science. And given that innerwear is neither on display (at least not in India as yet) when worn by users or widely spoken about in everyday conversation, the presumption would be that 'brand' can't possibly be that important. But think about this: comfortable innerwear is much more important than the clothes we wear over it. Innerwear also has to be strong and durable. As if all this wasn't enough, difference in physiques, weather-related factors and consumer preferences of comfort in India are not entirely similar to those abroad. Consequently, the product design, fit and fabric composition of an undergarment stock keeping unit (SKU) has to be indigenized in order to be successful in India. This is a curse if you get it wrong and a boon if you get it right.

If a consumer accepts a particular style and brand, it is highly likely that she/he will stick to it. Therefore, consistency of product quality and design over a period of time across geographies is critical for a brand to avoid losing a satisfied consumer. Finally, a steady stream of new products keeps distributors and retailers active and interested. Selling the same product year after year does get boring. The 'feel good' factor of consumer purchase in innerwear is driven by a combination of fresh introduction of designs across sub-segments of innerwear and fresh introduction of colours within existing styles. Very few clothing brands have got all these factors right in India.

The firm has been very focused on deepening its moats for a very long time. Page's journey with Jockey goes back to 1959. Four generations of the Genomal family (the promoters of Page) have focused on the undergarment business and have no intention of diverting to anything else. As a result, unlike many other promoters in India, who end up diluting their firm's ROCE by misallocating surplus capital, Page has maintained strict capital allocation discipline over the past two decades. Page has been judicious while balancing the source of funding—between equity and debt—for its growth (see exhibits below). Page makes capex decisions based on assessment of business growth and expansion. This assessment includes understanding subjects like market expansion and penetration, leveraging new technologies to reduce cost of production, investment in software, backward integration for cost advantages, etc.